

# INTERNAL AUDIT REPORT

Vendor Risk Audit | Report No. AR-02323

|                                |                                        |
|--------------------------------|----------------------------------------|
| Report ID:                     | AR-02323                               |
| Audit Type:                    | Vendor Risk Audit                      |
| Report Date:                   | September 19, 2024                     |
| Audit Period:                  | 2024-02-04 to 2024-08-20               |
| Lead Auditor:                  | Lindsay Kim (EMP-32808)                |
| Reviewed By:                   | Connie Young (EMP-786)                 |
| Primary Vendor Reference:      | MeridianTech International (VND-01907) |
| Subject Employee Reference:    | Brianna Hernandez (EMP-49766)          |
| Primary Transaction Reference: | TXN-C1902665544                        |
| Overall Risk Rating:           | HIGH                                   |

## 1. EXECUTIVE SUMMARY

This vendor risk audit covered the period 2024-02-04 to 2024-08-20 and examined transactions, approvals, and compliance records associated with vendor MeridianTech International (VND-01907) and employee Brianna Hernandez (EMP-49766). The audit identified 4 finding(s) requiring management attention, summarised in Section 3. The overall risk rating for this audit is assessed as **HIGH**.

## 2. SCOPE AND METHODOLOGY

The audit was conducted in accordance with the Internal Audit Charter and covered a sample of transactions processed through the Approval Workflow and Expense Claim systems. Testing included transaction tracing, approval limit verification, compliance record cross-referencing, and interviews with relevant process owners. Transaction ID TXN-C1902665544 (amount 352,060.81 INR) was selected as a key test item.

## 3. FINDINGS

| Finding ID | Severity | Category    | Description                                                                                                                          |
|------------|----------|-------------|--------------------------------------------------------------------------------------------------------------------------------------|
| FND-001298 | HIGH     | VENDOR RISK | High-risk vendor HorizonEdge Inc Group has no compliance record on file. Payment of \$449,008 released without compliance clearance. |

| Finding ID | Severity | Category       | Description                                                                                                                            |
|------------|----------|----------------|----------------------------------------------------------------------------------------------------------------------------------------|
| FND-004056 | HIGH     | FRAUD PATTERN  | Employee EMP-87437 submitted 3 expense claims within 72 hours for identical amounts — potential duplicate fraud pattern.               |
| FND-003481 | HIGH     | VENDOR RISK    | High-risk vendor RedPoint Consulting LLC has no compliance record on file. Payment of \$268,131 released without compliance clearance. |
| FND-002826 | MEDIUM   | APPROVAL LIMIT | Transaction processed with approval from an officer whose delegated authority was 67% below the required threshold.                    |

4. EVIDENCE REFERENCES

| Evidence ID | Source Type       | Citation Reference | Alignment Score |
|-------------|-------------------|--------------------|-----------------|
| EVI-000185  | COMPLIANCE RECORD | EVD-YVN-2253       | 0.79            |
| EVI-001178  | EXPENSE CLAIM     | EVD-OLA-5482       | 0.92            |
| EVI-001451  | EXPENSE CLAIM     | EVD-ZPR-6148       | 0.82            |
| EVI-001630  | AUDIT REPORT      | EVD-LIF-9313       | 0.62            |
| EVI-001702  | APPROVAL RECORD   | EVD-JSP-9810       | 0.76            |
| EVI-001726  | AUDIT REPORT      | EVD-CMY-4281       | 0.74            |

5. RECOMMENDATIONS

- Escalate repeat policy violations to the Risk Committee for disciplinary review.
- Restrict post-termination system access to prevent ghost-approver scenarios.
- Conduct mandatory refresher training on the Delegation of Authority Policy for approving managers.

6. MANAGEMENT RESPONSE

Management partially agrees with the findings; a remediation plan has been submitted for review by the Audit Committee.

7. SIGN-OFF

| Role              | Name         | Employee ID | Date       |
|-------------------|--------------|-------------|------------|
| Lead Auditor      | Lindsay Kim  | EMP-32808   | 2024-09-19 |
| Reviewing Officer | Connie Young | EMP-786     | 2024-09-21 |